

Export Orientation Model (EOM)

Export-led growth has been a key part of the Washington Consensus, but this heavy focus on exports and trade liberalization has caused several problems for developing countries:

- It shifted attention away from building strong domestic markets.
- It forced developing countries into harmful competition with each other to offer the lowest costs.
- It created tension between workers in poor and rich countries.
- It contributed to global issues like overproduction and falling prices.

While exporting is still important—especially to earn money for importing needed goods—making it the main policy goal can actually slow down real development.

The main theoretical problem with relying too much on export-led growth is that it assumes every country can grow by selling to others. But if all countries try this at the same time, it can lead to a global problem where no one has enough demand, resulting in too much supply and lower prices. Export growth might help one country grow, but if it just shifts demand from one place to another, it doesn't help the world economy grow overall.

Criticism By Thomas Palley

1. Export Displacement: To explain Palley's point of view let's use the textile Industry as an example. Export destination of this industries include- US, UK, Western Europe, Japan, Canada, Australia, And Exporting countries include, China, Bangladesh, Vietnam, India, Pakistan, Sri-Lanka, Myanmar, Eastern Africa (Senegal, Ethiopia). An important matter to be noted is that the list of exporting countries are longer than the destination and more countries are joining the exporting list, as countries with cheaper labors find it lucrative to join the export industry, becoming rivals of each-other. But the demand for textile is more or less constant. So, Exporting countries have to offer either cheaper goods or better quality. Both options are not desirable for profit maximizing exporters. If one country manages to increase their exports, it is often done by crowding out the exports of another developing country.

2. Race to the Bottom: If one country wanted to keep their profit margin the same, they had to lower their production costs. This reduction of cost came in the form of lowering wage of laborers, increasing working hours, skipping on ETP regulations, overtime, decreasing vacations, benefits and maternity leave.

That is, to stay competitive in global markets, countries may cut costs by reducing work conditions and environmental standards. This leads companies to lower these requirements or shift production to countries with fewer regulations. While this was once seen as mainly a



problem between the developed and developing countries, it is now clear that the developing countries competition is also significant. For example, the Pakistani soccer ball industry, which eliminated child labor, found that production just moved to India, where child labor laws were less strict.

3. Declining "Terms Of Trade", Financial Instability & Excess Capacity: A second problem with export-led growth is that it worsens the terms of trade for developing countries. As these countries push more goods and commodities into global markets, prices tend to fall. This forces them to export even more to earn the same income, which drives prices down further—creating a vicious cycle.

This problem leads to financial instability. First, as export prices fall, it becomes harder for countries to pay back their foreign debts, which are usually in strong foreign currencies. Loans were taken from Banks (tax-payer's money) to finance the infrastructure development of export-oriented industries. With degrading terms of trade, industries fail to generate revenue and default on loans. Moreover, too much investment in export manufacturing can lead to overproduction. The net result was too much production capacity, which made these investments unprofitable.

4. Autonomy, dependency, quality of development: A fourth issue with export-led growth is that it can limit a country's independence and lead to poor-quality development. When countries focus heavily on exports, especially through export-processing zones, it often results in weak connections to the rest of the economy. This model resembles the old "plantation" system—where workers are exploited, wages stay low, and the local economy doesn't benefit much. As a result, domestic markets remain underdeveloped, and long-term, self-sustaining growth is hard to achieve. Instead, these countries become heavily dependent on foreign demand for their exports.

This dependency also increases the risk of global economic instability. According to portfolio theory, a more balanced global economy with multiple independent growth centers is more stable. But if many developing countries rely on the same export markets in developed countries, a slowdown in those markets can trigger a global downturn.

Criticism By Robert Blecker

1. Growth Of Export Market and Exporters: The basic flow of a global export-led growth Strategy is that, under a given set of global demand Conditions, the market for developing country exports of manufactures is limited by the capacity (and willingness) of the industrialized nations to absorb the corresponding imports.

NIC → Newly Industrialized Country: The market for imports of labor-intensive manufactures and other NIC exports can only grow so fast, and as a result the export-led strategy can work only



for a grow limited number of countries at a time. If this market is growing at say 7% per year, then not all of the NICs can have their exports increase at rates of 15%-10% (market shares of other exporters on domestic producers are falling).

Reasons for Growth:

1. Population Growth.
2. Consumerism.
3. Cultural Change.
4. Aggressive Marketing Strategy.

2. The Fragile financial State of the Exporters: If all exporters try to grow faster including new-comers, the industry will see oversupply and prices will fall. If a country's export performance is dissapointing, they will suffer economic stagnation and become more prone to a currency collapse on financial crisis - especially if they attempt to paper over their growth showdown with international borrowing that creates a fragile financial position and makes the currency overvalued.

3. Total export increase/expand more than the domestic demand of the rich countries:

Exporter countries as a group increase their productive capacity and lower their average costs, & thus permitting them to take away market share from domestic producers in the importing countries. In this respect, the ability of all developing country exporters to increase, their total market share abroad is limited by two factor:

- i) Protectionist policies of importers.
- ii) Eventual disappearance of local producers which then constrains total import growth to the growth rate of the domestic market in the industrialized countries.

Simplified Explanation: When developing countries expand their exports faster than the demand is growing in rich countries, they build more factories and lower production costs. This helps them sell more and compete with local producers in those rich countries.

However, there are two main limits to how much developing countries can grow their exports:

- Protectionist policies in rich countries (like tariffs or quotas) can block more imports.
- If local producers in rich countries shut down, imports may stop growing too—because the total market size isn't expanding fast enough.

